

LBOMODEL2 — Sources only if used in the equation

AI \$34m = $0.25 \times 1,513 \times (\$5 - \$10k) \times 12$ midpoint. SF \$2/conv is NOT a source. Excel

Driver	Value	Source (EQ inputs)	EQUATION
Revenue growth	0.1	EQ uses: FY24 Rev \$1,214.3m (ZI results). Growth 10% = MODEL CONST (not in filing; filing is ~2%).	EQUATION: $Y1_Rev = 1214.3 \times (1 + 0.10) = \$1,335.73m$. SOURCED input: 1214.3 from ZI FY24 results. MODEL CONST (unsourced rate): 0.10 — filing growth = $1214.3/1239.5 - 1 = -2.03\%$ is NOT used. Only list ZI results because it supplies the \$1,214.3m base in the equation.
Gross margin	0.8	EQ uses: software median GM = 80% (Aleph/Benchmarkit) → C6=0.80	EQUATION: $COGS_t = Rev_t \times (1 - 0.80) = Rev_t \times 0.20$. Y1 example: $1335.73 \times 0.20 = \$267.15m$. SOURCED input: 0.80 from Aleph/Benchmarkit median. No other inputs. Source number = driver number.
Sales payroll cut (Y1)	0.15	EQ uses: published SDR HC cut ~18% → model sets C7=15% (near 18%); payroll pool \$318.8m	EQUATION: $Payroll_Y1 = 318.8 \times (1 - 0.15) = \$270.98m$; savings = \$47.82m. SOURCED rate evidence: ~18% US B2B SaaS SDR headcount decline (we set 15% ≈ 18%). SOURCED \$ pool: $318.8 = 0.75 \times 425$ from pay-mix rows. If we used 18% exactly: $318.8 \times 0.82 = \$261.4m$ — we chose 15% as the nearby model switch.
Variable commission cut	0.2	EQ uses: ~30% variable share of OTE (SyncGTM) → informs cutting commission pool; pool \$106.2m; C8=20%	EQUATION: $Commission_AI = 106.2 \times (1 - 0.20) = \$84.96m$; savings = \$21.24m. SOURCED: ~30% variable (SyncGTM) explains why a commission pool exists to cut. MODEL CONST: 20% cut rate (partial take of the ~30% variable layer). SOURCED \$ pool: $106.2 = 0.25 \times 425$. Equation dollars come from pool × cut — not from an unstated unit price.
AI infrastructure (\$m)	34	EQ uses: ZI S&M; HC 1,513 (10-K) × 25% roles × \$5–10k/mo agents × 12 → avg \$34m. NOT SF \$2/conv.	EQUATION (only these inputs): Roles = $0.25 \times 1,513 = 378$. Low = $378 \times \$5,000 \times 12 = \$22.7m$. High = $378 \times \$10,000 \times 12 = \$45.4m$. C9 = $(\$22.7 + \$45.4)/2 = \$34.0m$. SOURCED: 1,513 from ZI 10-K Human Capital. SOURCED: \$5k–\$10k/mo enterprise AI SDR agent range (secondary link). MODEL CONST: 0.25 outbound share of S&M.; REMOVED: SF \$2/conv and \$0.10/action — they do not appear in this equation, so they are not sources for C9.
S&M; expense growth Y2+	0.02	EQ uses: prior-year S&M; \$ × (1+C10); C10=2% = MODEL CONST. Gartner supports non-linear headcount scaling (qualitative).	EQUATION: $Payroll_t = Payroll_{t-1} \times (1.02)$. Y2 = $270.98 \times 1.02 = \$276.40m$. SOURCED \$ start: 270.98 from row-7 equation. MODEL CONST: 0.02 growth. Gartner is listed only as qualitative support that agent opex need not track headcount 1:1 — it does NOT supply the 2%. If you require every rate to be numeric-from-source, treat 2% as pure model const (Gartner optional).
G&A; % of revenue	0.18	EQ uses: $Rev_t \times C11$; C11=18% = MODEL CONST. Filing G&A; \$295.3m/1214.3=24.3% is the sourced alternative rate (not used).	EQUATION USED: $G\&A_t = Rev_t \times 0.18 \rightarrow Y1\ 1335.73 \times 0.18 = \$240.43m$. SOURCED Rev: from growth path / ZI base. MODEL CONST: 0.18. SOURCED BUT NOT USED IN EQ: filing G&A; rate $295.3/1214.3 = 24.32\%$ (would give Y1 G&A; \$324.9m). Honesty: 18% is not taken from the filing number.
CapEx reduction vs base	0.05	EQ uses: $Rev \times 2\%$ CapEx_base × (1–0.05). 5% = MODEL CONST; CapEx base 2% = MODEL CONST. Source shows device \$ exist in SDR all-in (qualitative).	EQUATION: $CapEx_AI = Rev \times 0.02 \times 0.95 = Rev \times 0.019 \rightarrow Y1\ 1335.73 \times 0.019 = \$25.38m$. MODEL CONSTS in EQ: 0.02 and 0.05. Source is qualitative (SDR stacks include hardware \$) — it does not print 5% or 2%. Labeled honestly: device-cost existence from source; rates are model const.
WC / receivables improvement	0.1	EQ uses: $\Delta Rev \times 2\% \times (1 - 0.10)$. 10% & 2% = MODEL CONST. Source supplies ~80 DSO (motivates WC, not the 10%).	EQUATION: $\Delta NWC_AI = \Delta Rev \times 0.02 \times 0.90 = \Delta Rev \times 0.018 \rightarrow Y1\ 121.43 \times 0.018 = \$2.19m$. SOURCED: ~80 receivable days (WC is real). MODEL CONSTS: 0.02 WC rate, 0.10 improvement. 80 DSO is not algebraically equal to 10% — improvement rate is model const.
SOFR	0.043	EQ uses: C14 as SOFR in TLA/TLB rates. C14=4.30% = MODEL PLANNING (FRED recent ~3.62% — not equal).	EQUATION: $TLA_rate = C14 + C15$; Interest_TLA = $TLA_beg \times (C14 + C15)$. SOURCED series: FRED/NY Fed SOFR. MODEL CONST: 4.30% cushion (≠ latest ~3.62% print). To be strictly equal to source, set C14 to the FRED print; currently a planning cushion above it.
Term Loan A spread	0.04	EQ uses: C15=+400bps. Source band SOFR+275–375bps — 400 is ABOVE band (conservative MODEL choice).	EQUATION: $TLA_rate = 4.30\% + 4.00\% = 8.30\%$; Interest_TLA = $TLA_beg \times 0.083$. SOURCED band: ~275–375bps. MODEL CONST used: 400bps (not inside the cited midpoint). Honesty: we are outside the guide's upper 375bps by 25bps.
Term Loan B spread	0.05	EQ uses: C16=+500bps = TOP of sourced TLB band SOFR+300–500bps	EQUATION: $TLB_rate = 4.30\% + 5.00\% = 9.30\%$; Interest_TLB = $TLB_beg \times 0.093$. SOURCED: 500bps is the published upper bound of SOFR+300–500. Source number (upper bound) = driver number.
Mandatory amortization	0.01	EQ uses: C17=1% = sourced TLB amort standard; principal ≈ \$915.5m	EQUATION: $Mandatory = 915.5 \times 0.01 = \$9.155m/yr$. SOURCED: 1% amort from TLB market standard. SOURCED structure: $915.5 = 183.1\ EBITDA \times 5.0x$ leverage (model leverage turns). 1% from source × principal = dollar mandatory.
Cash sweep %	1	EQ uses: $C18 = 100\% \times \max(0, FCF - \text{Mandatory})$. 100% = MODEL CONST (mechanism sourced, not the 100%).	EQUATION: $Sweep_\$ = 1.00 \times \max(0, FCF - \text{Mandatory}_\$)$. SOURCED: optional prepay / excess-cash delever mechanism. MODEL CONST: 100% sweep fraction. Dollar total = FCF path × 100% — rate is model switch.
Tax rate	0.21	EQ uses: C19=21% = sourced US federal CIT	EQUATION: $Tax_\$ = \max(0, EBT_\$) \times 0.21$. SOURCED: 21% statutory rate (PwC). Source number = driver number. If $EBT = \$100m \rightarrow Tax = \$21m$.
Exit EV/EBITDA multiple	13	EQ uses: C20=13x. Source band 15–22x — 13 is BELOW band (MODEL CONST conservative).	EQUATION: $Exit_EV = Y5_EBITDA \times 13$. SOURCED band: ~15–22x (not used as 13). MODEL CONST: 13.0x. Honesty: 13 does not equal a number printed in the source; source only bounds a higher range we under-cut.
S&M; baseline (\$m)	425	EQ uses: target ≈ 35% × \$1,214.3m. Filing S&M; \$414.1m (34.1%) → round to C21=\$425m	EQUATION: $0.35 \times 1214.3 = \$425.005 \approx C21 = \$425.0m$. SOURCED: Rev 1214.3 and S&M; 414.1 (34.1%) from ZI FY24 results. MODEL ROUND: choose 35% near 34.1% → \$425m. Filing dollars drive the equation; 35% is the rounding choice.
Payroll baseline (\$m)	318.8	EQ uses: ~70% base share (SyncGTM) → set $75\% \times \$425m = \$318.8m$	EQUATION: $C22 = 0.75 \times 425 = \$318.8m$. SOURCED: ~70% base of OTE (SyncGTM) → we use 75% of S&M; pool. SOURCED \$: 425 from row 21. 75% is a model allocation near the sourced ~70%.
Commission baseline (\$m)	106.2	EQ uses: residual 25% × \$425m = \$106.2m (near sourced ~30–35% variable)	EQUATION: $C23 = 0.25 \times 425 = \$106.2m$; check $318.8 + 106.2 = 425$. SOURCED: variable ~30–35% of OTE. MODEL: 25% of S&M; as commission pool (residual after 75% payroll). Dollars from 425×0.25 — residual identity, informed by sourced variable share.
CapEx base % of rev	0.02	EQ uses: $CapEx = Rev \times 0.02$. 2% = MODEL CONST. Source uFCF \$446.9m shows low CapEx intensity (qualitative).	EQUATION: $CapEx_base_\$ = Rev \times 0.02 \rightarrow Y1\ 1335.73 \times 0.02 = \$26.71m$. MODEL CONST: 0.02. SOURCED qualitative: uFCF 446.9 on 1214.3 rev supports asset-light profile — does not equal 2%.

WC base % of Δrev	0.02	EQ uses: $\Delta NWC = \Delta Rev \times 0.02$. 2% = MODEL CONST. Source ~80 DSO motivates WC (not equal to 2%).	EQUATION: $\Delta NWC_\$ = \Delta Rev \times 0.02 \rightarrow Y1\ 121.43 \times 0.02 = \$2.43m$. MODEL CONST: 0.02. SOURCED: ~80 DSO. Not algebraically 2% — WC plug is model const.
TLA rate (SOFR+4)	=C14+C15	EQ uses: $C27 = C14 + C15$ only (SOFR + TLA spread). No other sources.	EQUATION: $C27 = 4.30\% + 4.00\% = 8.30\%$. Interest_TLA = TLA_beg $\times$ 0.083. Inputs solely from C14 and C15 (their sources/notes on those rows). No SF or unrelated links.
TLB rate (SOFR+5)	=C14+C16	EQ uses: $C28 = C14 + C16$ only (SOFR + TLB spread).	EQUATION: $C28 = 4.30\% + 5.00\% = 9.30\%$. Interest_TLB = TLB_beg $\times$ 0.093. Inputs solely from C14 and C16. TLB +500bps sourced on row 16 as top of SOFR+300–500 band.